

Collections Recovery Forensic Review

Decision memo | Independent audited recovery view | September 2026

Executive answer: The reported “11% month-on-month recovery improvement” does not hold as an all-account recovery-cash claim. After reconciliation, audited all-account cash rose 3.7% from June to July, while the narrower targeted-account recovery yield rose 11.8%. Jan-to-Jul audited all-account recovery cash declined 2.6%. The headline is therefore materially misleading unless the denominator is restricted to targeted principal.

What happened

Fact: Raw SUCCESS cash of ₹134.15 Cr falls to ₹93.53 Cr after payment-ID deduplication followed by exclusion of ambiguous/reused references - a 30.3% data-quality haircut. This is a reporting correction, not lost business performance.

Strong evidence: DPD mix does not explain the Jan-to-Jul targeted-yield change. Observed change is +0.120 pp; within-DPD change contributes +0.12023 pp while DPD mix contributes only +0.000054 pp.

The supplied extracts cover 8 observed calendar months: January-July complete and August partial. A full 12-month reconstruction is not possible from the provided data, so no 12-month seasonality claim is fabricated. The analysis also checks geography, loan type/risk, campaign, channel, vendor, calling hour, attempt frequency and descriptive agent performance. Client, language, dedicated borrower-segment and reliable agent-tenure fields are not available or trustworthy enough to support inference.

Operational metric governance

The requested operating metrics are governed at explicit grains: contact rate = distinct deduped call attempts linked to an ANSWERED canonical call / distinct deduped call attempts; RPC = normalized right-party dispositions / answered calls; PTP rate = PTP dispositions / RPC; PTP kept rate = resolved KEPT / (KEPT + BROKEN) by promised-date cohort; recovery rate = audited cash on targeted accounts / targeted principal; recovery/account = audited cash / targeted accounts; recovery/agent-hour = all-account audited cash / logged agent-session hours; channel conversion = audited payer in the next 7 full calendar days after a targeting date, with the target date excluded because the source provides no target timestamp. Cost per ₹ recovered is not reported because no dependable cost table exists.

Why it happened / what is decision-grade

Correlation only: the legacy July full-month targeting association is retained as a diagnostic. Its outcome window can include payments before the first target event and is not a causal lift estimate.

Corrected historical signal: first-target 7-day payer rate moves from 1.288% pre-target to 1.341% post-target, +0.053 pp. A paired bootstrap gives a descriptive 95% interval of about -0.371 pp to +0.477 pp; this is not causal. Average cash per targeted account also falls by ₹74. The treatment-selection review now includes DPD, principal, outstanding, risk, loan type, geography, prior 30-day call intensity/contact, prior payer behavior and prior audited cash; selection is reduced but not proven ignorable. Time trends, regression to the mean, borrower selection and concurrent interventions remain possible.

The DPD mix decomposition is explicitly limited to the static/extract-level DPD field because no historical monthly DPD snapshots exist. Vendor/disposition forensics now include a raw-code/version mapping and before/after table; normalized RPC-code share remains ~66.0%-66.4% with no supported semantic step change. Denominator audits show no success-only denominator is being used for all-account recovery.

Recommendation: better borrower targeting - pilot first

Do not commit the full ₹10 Cr as an unconditional production rollout. Run a randomized targeting pilot with a 10% holdout, stratified by DPD × risk segment × loan type. Treatment must be assigned before the outcome window. Primary statistical endpoint: 30-day payer rate. Financial decision metric: 30-day audited cash per eligible account. Guardrails: 60/90-day PTP kept, complaints, contact rate and spillover.

Scenario	Incremental payer lift	Annual incremental recovery	ROI	Break-even
Downside	0.5 pp	₹2.61 Cr	-73.9%	45.9 mo
Planning case	1.0 pp	₹5.23 Cr	-47.7%	23.0 mo
Break-even	1.91 pp	₹10.00 Cr	~0%	12.0 mo
Upside	2.5 pp	₹13.06 Cr	+30.6%	9.2 mo

Financial framing: annualized addressable target account-month opportunities are 67,104, not 67,104 distinct people; annualization uses the mean of the 7 complete Jan-Jul months and excludes partial August. The ₹10 Cr budget requires approximately 1.91 pp of incremental payer lift using the July audited recovery-per-payer rate among targeted July accounts (₹77,866 per targeted payer) as a planning assumption. A normal-approximation planning calculation suggests roughly 3,464 total accounts at 90/10 allocation to detect a 1.91 pp effect at 80% power and two-sided 5% alpha; this must be recalibrated against the actual 30-day baseline before launch.

Confidence and decision

Overall confidence: High for payment-forensics and the 11% claim diagnosis; Medium-Low for causal targeting impact and precise ROI because historical evidence is observational. The financial range is explicitly scenario-based rather than a causal confidence interval. Decision: approve a measurable targeting pilot, not a blind ₹10 Cr rollout. Scale only if the randomized holdout demonstrates incremental payer-rate lift above the 1.91 pp pre-agreed hurdle and clears the cash/ROI test.